

to be thoroughly familiar with question wording and need to understand—and remain alert for—biases that can be awakened when options are formulated in certain ways. Remember, clear communication ensures the success of the advisory relationship.

Positive and negative frames. We've observed the considerable influence that positive and negative framing can exert. The lesson for practitioners is to present facts and choices to clients as neutrally and uniformly as possible. This reduces the likelihood of a biased client response and should help you to help your investors achieve their financial goals.

NOTES

1. Daniel Kahneman and Amos Tversky, "Choices, Values, and Frames," *American Psychologist* 39 (1984): 341–50. Reprinted as Chapter 1 in Daniel Kahneman and Amos Tversky, eds., *Choices, Values, and Frames* (New York: Cambridge University Press and the Russell Sage Foundation, 2000).